

witnessed a stagnation of sorts when it comes to salary hikes for freshers and the lower band of employees. An analysis of average salary packages of CEOs and freshers, per companies' earnings reports and publicly available data, shows that fresher salaries have increased only 46.94 per cent in the past 10 years while the salary of CEOs has zoomed a whopping 1,492.27 per cent.

This huge discrepancy in salaries between the CXOs and those at the bottom of the pyramid is not lost on industry veterans. T.V. Mohandas Pai, former CFO and Board Member at Infosys, for instance, tells *BT*, "There has been no increase in compensation for freshers. They are being paid the same ₹3.5-4 lakh that the companies were paying 10-12 years ago. During this time, the salary for managers and seniors has gone up 4x, 5x, 7x."

Industry experts point out that this disparity in salary increases of freshers compared to the top management has created a wide gulf between the two rungs. Kiran Karnik, the erstwhile president of the IT industry body Nasscom, says that "by relative standards, compared to what his or her CEO is getting, the current salary of freshers is a big pain point".

There seems to be a lot of truth in Karnik's statement. As per data

from a TeamLease Digital report, the specific ratio of pay between the CEO and a fresher working in the same company highlights how disproportionate the salaries are at both levels. At Infosys, this ratio is 1,973; at Wipro, it is 2,111; at HCL Technologies it is 1,020; at Tech Mahindra it is 644; and at TCS it is 619.

Industry insiders, such as Vineet Nayar, former CEO of HCL Technologies, note that this discrepancy highlights a lack, or even ignorance, of the important role employees play in an organisation. "I truly believe that great organisations are built on the shoulders of passionate and purpose-led employees," he says.

As Nayar explains, if employees are not motivated and passionate about the purpose of the organisation, "you will not be able to create value for your customers".

LOYAL NO MORE

This growing salary chasm could be one of the reasons why the sector at large is currently plagued by issues like high attrition and moonlighting, both pointing towards dwindling employee loyalties to their respective organisations. "I come from a generation where if you have a job, you are devoted to that one job, but times have changed now," says Karnik.

As data shows, attrition levels at India's top IT companies have touched new highs, especially in the post-Covid-19 work environment. In Q2FY23, Infosys reported a 27.1 per cent attrition rate, up 7 per cent year-on-year (YoY); Wipro reported an attrition rate of 23 per cent, up 2.5 per cent YoY; and TCS' attrition rate stood at 21.5 per cent, an almost 10 per cent jump YoY.

Some factors contributing to the rising attrition are digitisation across sectors and job opportunities in start-ups. Bhavna Udernani, Managing Director of Adhaan, an HR services company, says, "Rapid digitalisation across sectors has led to increased demand for IT professionals across sectors. Moreover, start-ups have also become major employers of IT professionals."

Further, the pandemic and the subsequent 'work from home' culture that it spawned could also be a reason behind this phenomenon. Udernani notes, "As soon as offices started opening, many employees started flocking to jobs that gave them the flexibility to work from home. Another factor for high attrition is that if an employee started working with a company during the work-from-home era, they did not create any camaraderie with peers, which is often a factor when people try to

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